

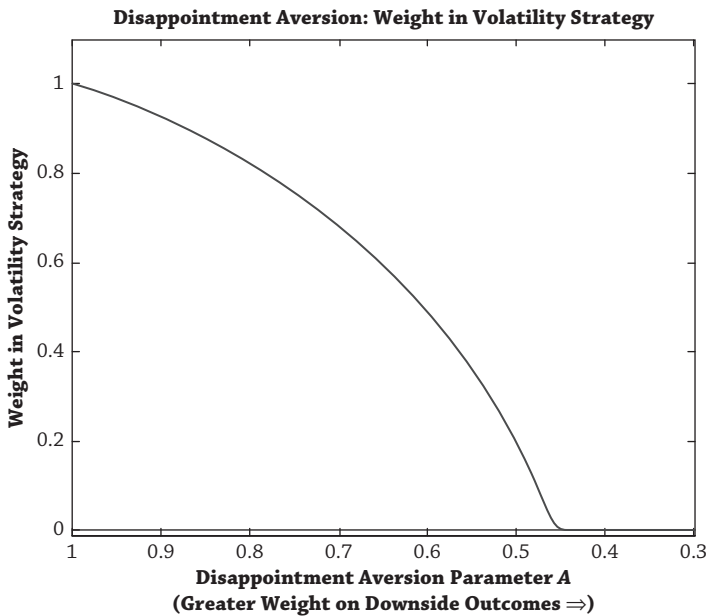


Figure 2.12

aversion is that the reference point is *endogenous*, and equal to the certainty equivalent (see section 3.2).

The disappointment aversion parameter, A , is the equivalent of the loss aversion parameter, λ , in disappointment aversion utility. In Figure 2.12, I plot the optimal weight in the volatility strategy as a function of A . Disappointment aversion nests CRRA as a special case, so I start with a 100% investment in the volatility strategy, which corresponds to a risk aversion of $\gamma = 1.68$ (similar to the loss aversion plot in Figure 2.11). The disappointment utility investor weights disappointing outcomes more than elating outcomes by $1/A$, so values of A smaller than 1 indicate the investor is averse to downside risk. Figure 2.12 shows that as we decrease A (or we become more downside risk averse), she lowers the weight of her portfolio allocated to the volatility strategy. At a disappointment aversion level of $A = 0.45$, she holds entirely risk-free assets. This corresponds to her weighting disappointing outcomes approximately twice as much as elating outcomes. This is quite similar to the loss aversion weight of λ being approximately 2 where the loss aversion investor has also completely divested from the volatility strategy.

4.4. HABIT UTILITY

Habit utility falls into a class of utility functions that define bad times not just by wealth outcomes, but also by an investor’s environment. Specifically, it is not